



ARMYMEN POSE WITH A HUGE QUANTITY OF EXPLOSIVE MATERIAL RECOVERED IN SRINAGAR

country. That is one of the main reasons why India has been denied membership of the Paris-based Financial Action Task Force (FATF)—the inter-governmental body mandated to devise measures aimed at combating money laundering and terrorist financing. India has to fulfil certain criteria to be eligible to join the exclusive 34-country organisation.

The main being strengthening the provisions of Prevention of Money Laundering Act (PMLA), 2002, making it more effective in curbing financing of terrorist activities. The Government has been sitting on the recommendations for the past two years, though Home Minister P. Chidambaram promised after the Mumbai terror attacks that he would bring it to Parliament soon.

With some of the key amendments to the PMLA, not only will international credit card transactions come under the scanner but these will also come under

## Action Plan

**HEED** the advice of the intelligence agencies which favour posting of revenue intelligence officials to embassies and high commissions of sensitive countries like Pakistan, UAE, US, UK, Nepal and Afghanistan. The purpose is to monitor financial transactions of terror outfits and ISI agents based in these countries.

**ENSURE** amendments to Prevention of Money Laundering Act (PMLA) are passed soon, even if as an Ordinance, to cut off illegal transfer of funds for terrorist activities.

**THE FINANCIAL** Investigative Unit should be brought under the umbrella

of the Multi Agency Centre for better coordination with other intelligence agencies.

**WITH INTELLIGENCE** inputs about terror outfits investing in the stock exchange and real estate, their linkage with various building and construction companies needs to be probed.

**PLUG** the routes commonly used to smuggle RDX into India, which include Bangladesh, Nepal and Myanmar borders. Poor policing and corrupt border guards help in smuggling at the Bangladesh border, and open borders aid it in Nepal and Myanmar.

## Fertiliser of Death

A hawk eye needs to be kept on easily available ammonium nitrate

● **The Explosive Substances Act must be amended to include ammonium nitrate, a commonly used fertiliser with explosive properties.** Following the revelation that the fertiliser was used in the Delhi blasts last year, the Government announced the constitution of a committee under the Home Secretary. Since then, very little information has flowed out of the Ministry.

● **India should emulate the US which is still in the process of regulating the sale of ammonium nitrate after 9/11.**

● **Ammonium nitrate is produced in large quantities by state-managed public sector units such as IFFCO. These organisations have large rural networks. Even though they handle large quantities, regulating sale and movement of the fertiliser is possible.**

● **India is a leader in agricultural technology. The Government needs to promote research urgently to find safer fertilisers.**

a new category of offences "cross-border implications". This includes "offences which occur in another country, which may or may not constitute an offence in that country but is an offence in India".

Even international payment gateways—Visa, Master Card and Western Union—would be regulated via a "payment system operator" that will come within the ambit of "financial Institutions" and obliged to share any transaction over Rs 10 lakh the suspicious transactions with India through the Financial Investigative Unit.

Besides keeping a check on the movement of money, India also needs to have a system of checks in place for the movement of explosives, particularly ammonium nitrate (*see box*). It was recently used in terror strikes last year in Delhi, Hyderabad, Jaipur and Ahmedabad. Half the battle will be won if these issues are addressed as priority.